



CDSL's Q3FY22 was a mixed bag with topline below our estimates but margins being a beat

- *Revenue from operations* came at 1,515.2 Mn (+3.8% QoQ) (+75.9% YoY) and 7% below our estimates
- EBITDA came at Rs 1,032.3 Mn (+4.1% QoQ) (+81.3% YoY) and 7.5% below our estimates
- EBITDA Margins were at 68.1% (Vs 68% QoQ) (Vs 65% YoY) Vs our estimates of 65%
- PAT came at Rs 837.3 Mn (-2.6% QoQ) (+56% YoY) and 14.5% below our estimates
- O. Exp as percentage to Revenue came at 18.6% (Vs 18.5% QoQ) (Vs 18.5% YoY)
- Employee cost as a percentage to Revenue came at 8.6% (Vs 8.5% QoQ) (Vs 10.9% YoY)

Segmentals:

- Depository Activity EBIT margins stood at 67.4% (Vs 66.8% QoQ) (Vs 64% YoY)
- Data entry and storage EBIT margins stood at 64% (Vs 65.6% QoQ) (Vs 58.9% YoY)
- Repository EBIT margins stood at -177.4% (Vs -168.6% QoQ) (Vs -212.7% YoY)
- Depository Activity contributes 75.3% to revenue, Data entry and storage contributes 24.9% and Repository activities contribute 0.3%.

Key Takeaways of the result:

- Profitability was lower mainly due to lower Other Income

Outlook

Tier 2 and 3 participations have increased which is a big positive. Certain different initiatives like IFSC (including bullion and spot coal trading) and Accreditation Agency are yet to start while the Insurance Repository and Commodity Repository businesses will aid disruptive growth going forward (pertaining to certain catalytical changes). Annual Issuer Charges are yet to be revised, which will contribute to incremental income. We believe there are a lot of triggers yet to play out (including certain big IPOs). We remain positive on the stock for all the factors mentioned above.

Rating	TP (Rs)	Up/Dn (%)
BUY	1,763	17

Market data

Current price	Rs	1,511
Market Cap (Rs.Bn)	(Rs Bn)	158
Market Cap (US\$ Mn)	(US\$ Mn)	2,112
Face Value	Rs	10
52 Weeks High/Low	Rs	1,734 / 510
Average Daily Volume	('000)	433
*BSE Code		-

Bloomberg CDSL.IN

Source: Bloomberg

* Not listed on BSE

One Year Performance



Source: Bloomberg

% Shareholding	Dec-21	Sep-21
Promoters	20	20
Public	80	80
Total	100	100

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Financial Summary

Y/E Mar (Rs mn)	FY20	FY21E	FY22E	FY23E	FY24E
Net sales	2,251	3,437	5,989	6,912	7,730
EBITDA	891	2,118	4,006	4,372	4,925
Adjusted net profit	1,067	2,013	3,488	3,778	4,187
Free cash flow	(2,368)	(831)	2,114	2,746	3,250
EPS (Rs)	10.2	19.3	33.4	36.2	40.1
growth (%)	-7%	89%	73%	8%	11%
P/E (x)	146.0	77.4	44.7	41.2	37.2
P/B (x)	21.5	17.8	15.3	13.4	11.7
EV/EBITDA (x)	174.8	72.8	38.1	34.5	30.3
D/E	-	-	-	-	-
ROCE (%)	10.4	23.9	40.0	38.5	38.1
RoE (%)	15.3	25.1	37.0	34.7	33.5
Dividend yield (%)	0.3	0.3	1.3	1.5	1.6

Source: Company

Conference Call Key Highlights

Contribution of revenue streams were as follows:

- **Transaction based income** at 527 Mn Vs 309.5 Mn YoY
- **Online Data Charges** at 336.2 Mn Vs 130.9 Mn YoY
- **IPO charges** at 234.1 Mn Vs 69.5 Mn YoY
- **Annual Issuer Charges** at 289.8 Mn Vs 216.9 Mn YoY
- **eCAS charges** at 44.2 Mn Vs 44.4 Mn YoY

As on 31st Jan 2022, **total Demat Accounts** in India stood at 84 Mn of which 58.5 Mn were with CDSL (i.e. 70%) (9.1 Mn additions in Q3 and 2.9 Mn additions in January)

Number of active companies rose to 17,748 (addition of 444 companies in Q3)

CDSL Ventures (CVL) (wholly owned sub)

- CVL has **39.3 Mn fully digitized KYC records** (addition of 4.8 Mn records in the quarter).
- **Number of companies registered in RTA** stood at 802 (addition of 52 companies in the quarter)
- 25.1Mn records were fetched during the quarter (35 Rs per record fetching).
- **cKYC records** stood at 1.519 Mn (+83% YoY)
- CVL 9 Month FY22 Operating Income stood at 993.5 Mn Vs 486.9 Mn YoY. PAT for 9 month FY22 stood at 536 Mn Vs 293 Mn YoY.
- No changes in charges for fetching but pressure on pricing of creation due to increase in volume. **Fetching contributes to 80% of revenue in CVL**

Other KTAs

- Participation from Tier 2 and 3 cities (in terms of BO accounts) has increased compared to previous year.
- Most of the new account openings are unique clients since the PAN numbers are different. Although revenue per account has reduced, this is due to more delivery based investing
- Apart from regulatory, tech cost and employee cost, SMS charges are the next big contributor. SMS charges stood at 22 Mn Vs 6.6 Mn YoY.
- Selling of stake in CDSL IFSC is because the regulator wants a single depository to function through. CDSL will hold 20% in the entity post transaction.
- Plan on Accreditation agency future is yet in works. (CDSL Ventures got approval to operate as an accreditation agency)

Valuation & Outlook

Tier 2 and 3 participations have increased which is a big positive. Certain different initiatives like IFSC (including bullion and spot coal trading) and Accreditation Agency are yet to start while the Insurance Repository and Commodity Repository businesses will aid disruptive growth going forward (pertaining to certain catalytical changes). Annual Issuer Charges are yet to be revised, which will contribute to incremental income. We believe there are a lot of triggers yet to play out (including certain big IPOs). We remain positive on the stock for all the factors mentioned above.

We had initiated on CDSL on 28th January 2022 with a target multiple of 44x FY24E earnings (a premium of 30% over listed exchanges (BSE, MCX & IEX) because of its annuity-like income and higher share of BO accounts compared to NSDL. **We have reviewed our numbers and expect CDSL to deliver EPS of 36.2 in FY23E and 40.1 in FY24E. We retain our BUY rating with target price of 1763.**

Financials

	Profit & Loss A/c				
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Net Sales	2,251	3,437	5,989	6,912	7,730
<i>Growth %</i>	<i>14.7%</i>	<i>52.7%</i>	<i>74.2%</i>	<i>15.4%</i>	<i>11.8%</i>
Other Operating Income					
Total Revenue	2,251	3,437	5,989	6,912	7,730
<i>Growth %</i>	<i>15%</i>	<i>53%</i>	<i>74%</i>	<i>15%</i>	<i>12%</i>
Less:					
Employee Cost	473	413	508	574	643
Cost of Software developments					
SG&A Expenses & Other	707	809	1,475	1,966	2,163
Total Operating Expenditure	1,180	1,222	1,982	2,540	2,805
EBIDTA	1,071	2,215	4,006	4,372	4,925
<i>Growth %</i>	<i>-4.2%</i>	<i>106.8%</i>	<i>80.9%</i>	<i>9.1%</i>	<i>12.6%</i>
<i>Growth %</i>	<i>-4%</i>	<i>107%</i>	<i>81%</i>	<i>9%</i>	<i>13%</i>
Less: Depreciation	117	92	110	151	138
EBIT	954	2,123	3,896	4,221	4,787
<i>Growth %</i>	<i>-6.4%</i>	<i>122.6%</i>	<i>83.5%</i>	<i>8.3%</i>	<i>13.4%</i>
Interest Paid	0	0	0	1	1
Non-operating Income	591	569	691	693	658
Profit Before tax	1,545	2,692	4,587	4,914	5,445
Tax	297	583	1,089	1,130	1,252
Net Profit before Minority	1,248	2,109	3,499	3,783	4,193
Minority Interest	0	0	5	5	6
Profit/Loss of Associate Company	0	0	(5)	0	0
Net Profit	1,248	2,109	3,498	3,789	4,198
Adjusted Profit	1,067	2,013	3,498	3,789	4,187
<i>Growth %</i>	<i>-7%</i>	<i>89%</i>	<i>74%</i>	<i>8%</i>	<i>11%</i>
Reported Diluted EPS Rs	10.2	19.3	33.4	36.2	40.1
<i>Growth %</i>	<i>-7.1%</i>	<i>88.6%</i>	<i>73.3%</i>	<i>8.3%</i>	<i>10.8%</i>
Adjusted Diluted EPS Rs	10.2	19.3	33.5	36.3	40.1

Balance Sheet (Consolidated)					
YE March(Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Liabilities					
Equity Capital	1,045	1,045	1,045	1,045	1,045
Reserves & Surplus	6,195	7,727	9,116	10,622	12,296
Equity	7,240	8,772	10,161	11,667	13,341
Preference Share Capital					
Net Worth	7,240	8,772	10,161	11,667	13,341
Minority Interest	419	428	0	0	0
Net Deferred tax liability/(Asset)	20	23	23	23	23
Total Loans	0	0	0	0	0
Lease Liabilities	39	26	26	26	26
Capital Employed	7,718	9,249	10,210	11,715	13,390
Assets					
Gross Block	951	986	1,036	1,086	1,136
Less : Depreciation	240	305	415	566	704
Net Block	711	681	621	520	432
Capital WIP	0	101	101	101	101
Right of Use Assets	4	3	3	3	3
Investments	2,734	1,665	1,665	1,665	1,665
Intangible Assets	28	178	127	127	127
Others Assets	319	158	276	588	657
Current Assets					
Sundry Debtors	260	237	492	568	635
Current Investments	3,912	5,429	5,429	5,429	5,429
Cash and Bank Balance	541	2,079	3,268	4,789	6,662
Loans and Advances	49	185	120	138	155
Other Current Assets	79	126	210	242	271
Total Current Assets	4,841	8,057	9,518	11,167	13,152
Less: Current Liabilities					
Sundry Creditors	121	127	230	265	297
Provisions	189	184	321	371	415
Other Current Liabilities	606	1,280	1,547	1,816	2,033
Total Current Liabilities	915	1,591	2,098	2,452	2,744
Capital Applied	7,718	9,249	10,210	11,715	13,390

Cash Flows (Consolidated)					
YE December (Rs. Mn)	FY20	FY21	FY22E	FY23E	FY24E
PAT	1,067.2	2,012.7	3,488.2	3,778.4	4,187.2
(Less)/Add: Extraordinary Income/	0.0	0.0	0.0	0.0	0.0
Less : Non Operating Income	(591.5)	(569.2)	(690.8)	(693.0)	(658.4)
Add: Depreciation	117.3	92.0	110.0	151.1	137.6
Add: Interest Paid	0.3	0.2	0.1	0.6	0.6
Tax Adjustment					
Operating Profit before WC Chan	593.3	1,535.8	2,907.5	3,237.0	3,666.9
(Inc)/Dec in Current Assets	(2,758.0)	(1,677.0)	(273.2)	(126.7)	(112.2)
Inc/(Dec) in Current Liabilities	181.4	676.0	506.7	354.1	292.3
Net Cash From Operations	(1,983.3)	534.8	3,141.0	3,464.4	3,847.0
CF from Investing Activities					
(Inc)/Dec in Fixed Assets	(48.2)	(34.6)	(50.0)	(50.0)	(50.0)
(Inc)/Dec in Capital Work In Progre	0.0	(100.6)	0.0	0.0	0.0
(Inc)/Dec in Investment (Strategic)	1,978.4	1,068.6	0.0	0.0	0.0
(Inc)/Dec in Investment (Others)	(41.2)	160.1	(117.3)	(312.1)	(69.5)
Add: Non Operating Income Incom	591.5	569.2	690.8	693.0	658.4
(Inc)/Dec in Intangible Assets	(2.1)	(149.8)	50.8	0.0	0.0
Cash From Investing Activities	2,478.3	1,512.9	574.3	331.0	538.8
CF from Financing Activities					
Inc/(Dec) in Reserves & Surplus	(4.7)	(10.2)	0.0	0.0	0.0
Inc/(Dec) in Equity					
Dividend Paid	(503.9)	(470.3)	(2,099.0)	(2,273.2)	(2,512.3)
Tax Paid on Dividend					
Other Financing Activities	48.4	(10.8)	0.0	0.0	0.0
Less : Interest Paid	(0.3)	(0.2)	(0.1)	(0.6)	(0.6)
Adjustments	5.6	9.3	(427.8)	0.0	0.0
Cash from Financing Activities	(454.9)	(482.1)	(2,527.0)	(2,273.7)	(2,512.9)
Net Inc/Dec in cash equivalents	40.1	1,565.6	1,188.4	1,521.6	1,873.0
Opening Balance	555.0	540.7	2,079.5	3,267.8	4,789.4
Closing Cash and Cash Equivalen	595.1	2,106.3	3,267.8	4,789.4	6,662.4

Source: Dalal & Broacha Research, Company

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